RES 12B - Teacher's Comprehensive Study Guide

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RES 12B — Teacher's Comprehensive Study Guide

How to use this guide

This guide is a teaching-oriented synthesis of **RES 1B — Rules, Ethics and Skills for Securities Dealers of Non-Exchange Members** and **RES 2B — Rules, Ethics and Skills for Derivatives Dealers for Non-Exchange Members**, as reproduced in `RES 12B Combined.pdf`.

The source identifies the material as current and applicable as at **30 September 2023**. The examination format stated in the source for each module is **60 multiple-choice questions, 1 hour 30 minutes, 75% pass mark**. The source also states that the amount of penalties is not tested. The legal and regulatory material is presented for examination study; operational decisions must always be checked against the current legislation, notices, rules and firm procedures.

The combined PDF contains two related but distinct syllabuses:

- **RES 1B:** securities dealing, CPFIS, market conduct, ethics and AML/CFT.
- **RES 2B:** derivatives dealing, OTC derivatives, derivatives ethics and skills, market conduct and AML/CFT.

The two modules share many principles. They are kept separate below so that a learner can study the applicable module without confusing securities-specific rules with derivatives-specific rules.

Coverage map

RES 1B

1. Capital markets industry and participants: 1.1–1.4.
2. Licensing and business operations: 2.1–2.9.
3. Market conduct: 3.1–3.12.
4. Ethics and standards for securities dealing: 4.1–4.5.
5. Securities dealing practices and skills: 5.1–5.8.
6. CPFIS: 6.1–6.14.
7. Prevention of financial crimes: 7.1–7.16.
8. Appendices A–H.

RES 2B

1. Capital markets industry and participants: 1.1–1.3.
2. Licensing and business operations: 2.1–2.9.
3. Market conduct: 3.1–3.20.
4. OTC derivatives: 4.1–4.5.
5. Ethics and standards for derivatives dealing: 5.1–5.6.
6. Derivatives dealing practices and skills: 6.1–6.7.
7. Prevention of financial crimes: 7.1–7.16.
8. Appendices A–G.

Part I — RES 1B

Chapter 1 — The capital markets industry in Singapore and participants

1.1 Introduction

1.1.1 The primary market The primary market is where issuers raise new capital. A business may issue equity shares, bonds or other fixed-income securities, and company warrants. Investors provide capital by buying the newly issued instruments and accept the possibility that the instrument's value will rise or fall as the issuer's performance, market conditions and risk perception change.

1.1.2 The secondary market The secondary market is where investors trade instruments after the initial capital-raising transaction. It allows investors to realise profits, exit poor investments, transfer risk and rebalance portfolios. Derivatives—such as futures, options, warrants and leverage certificates—can also be used to transfer or manage risk without simply selling the underlying shares or bonds.

1.1.3 Exchanges and OTC markets An OTC market is a decentralised "call-around" market in which participants contact one another to discover interest and negotiate trades. An exchange provides a centralised marketplace where buy and sell interests meet, improving price and quantity discovery. A person generally trades on an exchange either as a Trading Member or as a customer of a Trading Member.

1.1.4 Financial intermediaries Primary-market issues are complex and normally involve an issue manager or corporate-finance adviser, often a bank or CMS licence holder. The intermediary helps with due diligence, structuring, documentation, regulatory submissions and investor communication. In the secondary market, brokers match buy and sell interests or route orders to an exchange. Custodians safeguard client assets and support settlement.

1.2 Institutional participants in capital markets

1.2.1 Banks

- **Qualifying Full Banks and Full Banks:** may undertake the full range of approved banking business, accept deposits in any amount and currency, and provide capital-market, custody, underwriting and corporate-finance services.
- **Wholesale Banks:** may accept foreign-currency deposits in any amount, but Singapore-dollar deposit-taking is restricted. They may accept Singapore-dollar fixed deposits of at least S$250,000. Singapore-dollar savings/current accounts for Singapore-resident natural persons are generally non-interest-bearing unless MAS approves otherwise.
- **Merchant Banks:** are licensed under section 55S of the Banking Act. They cannot accept Singapore-dollar deposits from, or borrow Singapore dollars from, the public except within the permitted categories such as banks, finance companies, shareholders and shareholder-controlled companies.

1.2.2 CMS licence holders CMS licence holders may conduct regulated activities such as dealing in capital markets products, advising on corporate finance and providing custodial services. Dealing can be as principal or agent. Product financing and specified-product lending are different activities and must not be confused: product financing extends credit for purchases, while specified-product lending involves lending securities or other specified products under the applicable rules.

1.2.3 Finance companies Finance companies operate under the Finance Companies Act and may be exempt institutions for specified CMS licensing purposes, subject to their legal and regulatory conditions.

1.2.4 Remote overseas trading and clearing members An overseas-based remote member may be exempt from holding a Singapore CMS licence if it is incorporated outside Singapore, is a member of the relevant approved exchange/clearing house or recognised market operator/clearing house, does not serve Singapore residents, is not a Singapore-regulated financial institution, is regulated in its home jurisdiction, and its home regulator has a suitable MAS information-sharing arrangement. A remote SGX clearing member cannot have an MAS-regulated financial-institution affiliate; this additional criterion does not apply to a remote trading member.

1.3 Regulatory framework and regulatory bodies

Singapore's framework aims to maintain acceptable risk and financial-system stability, safe and efficient infrastructure, fair/orderly/transparent markets, and informed and empowered customers.

1.3.1 Monetary Authority of Singapore (MAS) MAS is Singapore's central bank and integrated financial supervisor. Its functions include monetary policy, currency issuance, payment-system oversight, acting as banker and financial agent to the Government, integrated supervision, financial-stability surveillance, managing official reserves and developing Singapore as an international financial centre.

MAS administers, among other laws and regulations, the SFA, SFR(LCB), Organised Markets Regulations, Clearing Facilities Regulations, Financial and Margin Requirements Regulations, Corporate Governance Regulations and the Financial Services and Markets Act 2022. MAS may approve exchanges and clearing houses, review rule amendments, inspect books, investigate suspected breaches and take action such as warnings, fines, reprimands, suspensions, licence revocations and prohibition orders.

1.3.2 Singapore Exchange Limited (SGX) SGX is an integrated multi-asset market infrastructure providing listing, trading, clearing, settlement, depository and market-data services. Its regulatory approach is guided by:

1. disclosure-based regulation;
2. comprehensive risk management;
3. risk-based targeting of regulatory activity;
4. balanced international best practice;
5. transparency; and
6. SGX as frontline regulator while managing regulatory conflict under MAS oversight.

1.3.3 SGX-ST SGX Securities Trading Limited is the approved securities exchange and manages day-to-day securities-market regulation, membership, trading requirements and disciplinary action. Its Mainboard is designed for more established issuers and has quantitative entry requirements. Catalist is designed for smaller or fast-growing issuers and uses a sponsor-supervised model without minimum quantitative entry criteria. The SGX-ST Listing Manual governs listing, acquisitions, realisations, takeovers and timely disclosure.

1.3.4 CDP The Central Depository provides integrated clearing, settlement and depository facilities for equities, fixed income and funds. It holds book-entry securities as bare trustee for depositors, immobilises securities and uses a nominated custodian for physical certificates. SGX trades settle on **T+2**. The 2021 intraday settlement run facilitates earlier settlement and reduces counterparty risk. Investors with direct CDP accounts should link their trading accounts to those accounts.

CDP's Pre-Settlement Matching Service automates the matching of settlement instructions, reduces manual errors and mitigates settlement failures. Settlement may be **delivery versus payment (DVP)**, where payment is made against delivery through CDP, or **free of payment (FOP)**, where cash settlement occurs outside CDP. CDP Clearing, Depository and Settlement Rules apply.

1.3.5 SGX-DT SGX Derivatives Trading, established in 1978, operates a futures market for commodities and financial underlyings, including interest rates, equity and equity indices and energy. Its Futures Trading Rules govern members and trading/settlement conduct.

1.3.6 SGX-DC SGX Derivatives Clearing clears products traded on SGX-DT and OTC commodity and financial derivatives registered through the SGX Titan OTC platform. It is a Qualifying Central Counterparty, which may reduce Basel III capital costs for members and banking-group participants. SGX-DC Clearing Rules govern clearing members.

1.3.7 SGX RegCo SGX RegCo was created as an independent regulatory subsidiary in 2017. It has its own board and separates frontline regulatory functions from SGX's commercial and operating activities.

1.4 SGX listing framework

1.4.1 Listing process An issuer normally appoints a CMS corporate-finance issue manager or adviser and professional advisers such as lawyers and accountants. The process includes preparation and due diligence, submission of listing documents, review by SGX-ST and—where a prospectus is involved—MAS/SGX review, public exposure, registration, launch, allocation and commencement of trading.

1.4.2 IPO timeline For a Mainboard IPO, the source describes Section A review as commonly taking about four to six weeks, followed by Section B/prospectus review, any research blackout, public exposure on MAS OPERA for at least seven calendar days, registration/launch and listing. For Catalist, the sponsor submits a pre-admission notification, SGX-ST reviews it, the listing application and offer document are lodged, the offer document is exposed for public comment, and registration/launch follows. The indicative Catalist stages are SGX-ST review of two to four weeks, public exposure of two weeks, registration/launch of one to two weeks, and commencement of trading.

1.4.3 Listing methods and GDRs

- **Primary listing:** the issuer satisfies the initial listing requirements and, after listing, continuing obligations.
- **Secondary listing:** an issuer already listed on an acceptable home exchange may list on SGX-ST Mainboard, generally continuing to comply with its home exchange and home-jurisdiction law while making simultaneous disclosures to SGX-ST.
- **Global Depositary Receipts (GDRs):** may be listed on Mainboard by an overseas-listed company and are specialist products for institutional and accredited investors. Information released to the home exchange must also be provided to SGX-ST in English.

1.4.4 IPO or introduction An IPO involves an offer of new shares and/or existing shares to the public and a prospectus lodged with MAS. An introduction involves no public share offer and is suitable where the issuer does not need capital at listing; an introductory document is submitted to SGX-ST and is not subject to public comments in the same way as a prospectus.

1.4.5 Mainboard admission requirements An IPO applicant generally satisfies one of three quantitative tests:

1. at least S$30 million consolidated pre-tax profit for the latest financial year and at least three years' operating track record;
2. profit in the latest financial year, market capitalisation of at least S$150 million and at least three years' operating track record; or
3. operating revenue in the latest completed financial year and market capitalisation of at least S$300 million. REITs and business trusts without historical financial information may use this route if they can demonstrate immediate operating revenue.

The applicant should be financially healthy, with positive operating cash flow considered, and debts owed to the group by directors, substantial shareholders and controlled companies should be settled before listing. Mining, oil and gas issuers have special market-capitalisation, reserves, working-capital, independent-qualified-person and independent-director requirements. Shareholder-spread, independent-director, promoter moratorium, prospectus, accounting-standard, domicile, currency and continuing-obligation requirements also apply. The source highlights, among other matters, 25% public shareholding and at least 500 shareholders for issuers below S$300 million market capitalisation, at least two independent directors, Singapore-resident independent directors for foreign issuers, and promoter moratoria tied to the profitability or market-capitalisation test.

1.4.6 Catalist listing Catalist permits only a primary listing and requires an SGX-authorised full sponsor. There is no minimum quantitative entry test, but the sponsor decides whether the applicant is suitable and SGX-ST may impose conditions, delay or refuse admission. A continuing sponsor must be retained throughout the Catalist listing.

Key criteria include 15% of post-invitation share capital in public hands, at least 200 shareholders, at least two independent directors, and at least one Singapore-resident independent director for a foreign issuer. Mining, oil and gas applicants must substantiate resources and maintain sufficient working capital. Offer documents are lodged on Catalodge, follow prospectus-style disclosure requirements including SFA liability provisions, and are exposed for at least 14 days.

Mainboard is for established companies, is exchange-regulated and has quantitative admission tests; Catalist is for fast-growing companies, is sponsor-supervised and has no quantitative admission test. The source also compares public-offer thresholds, shareholder-approval benchmarks and sponsor responsibilities.

1.4.7–1.4.8 Continuing obligations and sponsors Mainboard and Catalist issuers have broadly similar continuing obligations: material disclosure, periodic reporting, additional share issues, corporate transactions, corporate governance, interested-person transactions and free-float requirements. Sponsors must remain eligible, seek SGX advice on issues affecting market integrity, maintain adequate systems and registered professionals, act independently and professionally, maintain regular contact, use qualified specialists where necessary and avoid conflicts. SGX reviews sponsor due diligence, continuing activities and breaches. It may reprimand, require education or rectification, impose conditions, or suspend sponsors and registered professionals.

1.4.9–1.4.12 Terms, information, voting and enforcement "Listed" means appearing on SGX-ST's official list. "Quoted" may mean trading on an OTC quotation platform without being listed and without the full listing/continuing-obligation framework. Listed issuers must disclose material information via SGXNet, including information about subsidiaries and associated companies when needed to avoid a false market or inform investment decisions. Shareholders receive meeting notices—normally 14 days for ordinary resolutions and 21 days for special resolutions—and may attend or appoint proxies; resolutions are voted by poll. SGX may warn, fine through composition, require education or independent reviews, require remediation, suspend an issue manager or trading, or remove an issuer from the official list.

1.4.13 Debt securities SGX-ST may list fixed- and floating-rate bonds, convertible/exchangeable and covered bonds, asset-backed securities, loan participation notes and hybrid capital securities. Issuer, trustee/trust-deed, offering-document, fee and continuing-obligation requirements apply.

1.4.14 SPACs The SPAC framework introduced a listing vehicle that raises IPO capital to acquire an operating business or assets through a merger, share exchange or similar combination. At IPO a SPAC has no operating history or revenue-generating business, so information about the target is developed when a proposed business combination is announced.

Chapter 2 — Licensing and business operations

2.1 Introduction

CMS licence holders are licensed under the SFA. Corporations need a licence for regulated activities unless exempt. Individuals acting for a CMS licence holder must be appointed, provisional or temporary representatives unless exempt. The purpose of licensing is confidence, stability, professional conduct, adequate resources, competent representatives and controls proportionate to the business.

2.2 Grant of a CMS licence

2.2.1 Base capital requirements For securities, CIS units and exchange-traded derivatives, the source gives these common BCR categories: clearing member S$5million; tradingmemberS$1 million; non-member S$1million; introducingbrokerS$500,000; and other eligible firms S$50,000. If more than one BCR applies, the highest applicable amount is required. Exchange rules may impose a higher amount.

2.2.2–2.2.3 Applicant and management criteria The applicant should be primarily engaged in one or more regulated activities, operate from a physical Singapore office, and be able to discharge duties efficiently, honestly and fairly. MAS considers reputation, at least five years' relevant track record, home supervision and the fit-and-proper status of the applicant, holding/related companies, officers, employees, representatives and substantial shareholders. The board needs at least two members, at least one resident in Singapore, and the CEO should be Singapore-resident. MAS approval is needed for relevant CEO/director appointments and the firm should employ at least two full-time representatives for each regulated activity.

2.2.4 Change of particulars MAS must be informed within 14 days of changes to the firm's name, principal place of business, regulated activities/products, trading name and other prescribed particulars, or cessation of a regulated activity.

2.2.5–2.2.6 Lapsing, revocation, suspension and approvals A licence lapses on winding-up/dissolution or a prescribed event. MAS may revoke or suspend it where the firm or its people fail to act efficiently, honestly and fairly, fail to act in customers' best interests or breach licence conditions. Continuing to operate after lapse, suspension or revocation is a serious offence. MAS prior approval is required for CEO and director appointments; directors and CEOs must remain fit and proper.

2.2.7 Duties of CMS licence holders The holder should maintain written operating, financial, accounting, compliance and internal-audit policies; identify, address and monitor risks; audit compliance with law and exchange/clearing-house rules; set written limits for discretionary powers; document monitoring; ensure accurate and complete reports; segregate duties; maintain qualified representatives and an examination/exemption register; and report representative misconduct within 14 days of discovery.

2.3 Registration of representatives

An individual may conduct a regulated activity only after the relevant notification/registration as appointed, provisional or temporary representative, or under an exemption. A representative may act for one principal only unless MAS permits more than one or the principals are related corporations.

2.3.2 Competency and 2.3.3 due diligence The representative must satisfy education, relevant work-experience, CMFAS and fit-and-proper requirements. The principal should verify identity and work authorisation, conduct reference and public-register checks, review regulatory/criminal/disciplinary history and check financial soundness, bankruptcy, credit status and relevant CPF obligations for self-employed persons.

2.3.4–2.3.7 RNF, public register and continuing education MAS considers seriousness, relevance and time elapsed when refusing, revoking or suspending registration. The Representative Notification Framework allows electronic notification. The public register shows permitted activities, recent principals and formal MAS action. The RNF number stays with the individual when changing principals. Status can cease when the principal notifies MAS, the person stops acting for one month, MAS revokes it, the principal ceases the activity or the principal's licence lapses/revokes/is prohibited. Provisional status is limited to three months; temporary appointments are limited to the permitted short-term periods. A representative reports changes to the principal within seven days and the principal reports to MAS within 14 days. Continuing education should cover ethics, market conduct, products, compliance and other relevant skills; the source notes minimum core and supplementary CPD expectations.

2.4 Advertising

Product advertisements must not be false or misleading, must be fair and balanced, clear and legible, comply with electronic-font requirements, carry the statement "This advertisement has not been reviewed by the Monetary Authority of Singapore", and receive documented written approval before publication. Non-product advertisements must not be false or misleading, must not promise a supposedly free service unless it is genuinely free without conditions, and must not exaggerate in a way that exploits inexperience.

2.5 Customer accounts and SIPs

Before trading, the firm should complete account opening, documentation, suitability/risk profiling and any required Customer Account Review (CAR) or Customer Knowledge Assessment (CKA).

- **Listed SIPs:** CAR assesses knowledge/experience in derivatives or listed SIPs.
- **Unlisted SIPs:** CKA assesses knowledge/experience in the particular unlisted SIP.
- A relevant diploma, professional finance qualification, six qualifying transactions in the preceding three years, or three consecutive years of relevant experience in the preceding ten years may satisfy the relevant assessment. A prescribed independent learning module may also help satisfy the knowledge requirement.
- Senior management or designated personnel who are independent of the account-opening process must approve a SIP account.
- A customer may request advice at any time. For unlisted SIPs, the firm should offer advice; if the customer declines, obtain written confirmation and explain the customer's responsibility for suitability.
- If the customer does not possess knowledge/experience, notify him in writing. For a listed SIP account, obtain written confirmation of the intention to proceed, explain general features and risks in writing, and state that the customer is responsible for understanding the products. For an unlisted SIP, the firm cannot transact unless it is also an exempt financial adviser and provides the required advisory service.
- A CAR is generally valid for three years, subject to the source's transaction-continuity rule or a new CAR. A positive CKA is valid for one year.
- Keep profile, education, work/investment experience, assessment, outcome, approval and relevant trade communications. Customer profiles should be updated at least annually.

For overseas-listed investment products, provide the risk-warning statement and obtain acknowledgement before the first relevant transaction. Risks include different investor protection, laws and redress, tax and currency exposure, additional costs, counterparty/correspondent-broker default and political/economic/social developments. The acknowledgement must be retained for at least five years. If no reliable EIP-classification system is used, the product is treated as a SIP and CAR applies; outsourced classification remains the CMS holder's responsibility.

2.6 Privacy of customer information

Customer and order information is confidential. Banking Act section 47 permits disclosure only in specified circumstances such as customer consent, operational/risk-management or audit needs, or legal/regulatory investigation. An order may be disclosed only when needed to execute it, permitted by relevant market/clearing rules, or required by MAS. PDPA requires disciplined collection, use, accuracy, storage and disclosure of personal data. Check the Do Not Call Registry before marketing calls and obtain clear, unambiguous consent.

2.7 Managing trading accounts

Open the account, obtain legal documents, complete suitability and risk profiling, and keep trading within the customer's profile.

2.7.1 Contract notes Issue a contract note by the next business day after a purchase or sale, or by the next business day after a required late detail becomes available. It should identify the firm and address, principal/dealing-against-customer status where relevant, customer, date, product and quantity, price, consideration, adjustments, commission and taxes/duties. Overseas transactions may follow the overseas exchange's requirements. Maintain channels for discrepancy reports and complaints.

2.7.2 Statements Monthly statements should show transactions and prices, derivatives/spot-FX positions and marked-to-market unrealised profit or loss, custody assets and collateral, asset movements and reasons, money movement/balance, and charges/credits. A monthly statement need not be sent where CDP/clearing-house information already supplies it, there has been no account change, or an eligible non-retail customer uses agreed real-time electronic statements or requests non-receipt in writing. If the last month of a calendar quarter has no monthly statement, send a quarterly statement with the same information.

2.8 Books and audit trails

Keep books and transaction records in English for at least five years, in a form that permits proper audit and true/fair financial statements. Records cover customer and guarantor details, authorised traders, customer assets and custody movements, powers of attorney, agreements, risk disclosures, acknowledgements, account-opening documents, orders, advertisements and advice, ledgers/invoices, transaction confirmations, proprietary transactions, income/expenses, liabilities, assets, OTC transactions and underwriting/placement allotment bases. The list is not exhaustive.

Appoint an auditor and lodge annual accounts, balance sheet and auditor's report with MAS within five months of the financial year-end. The auditor must immediately report material financial deterioration, SFA contraventions/fraud or irregularities affecting customer money/assets; a copy goes to an approved exchange where relevant. Destroying, concealing, altering or sending books/assets out of Singapore to obstruct examination or audit is an offence. Reasonable precautions must prevent falsification.

2.9 Customer money and assets

Customer money generally includes funds received for purchases/sales, holding products, maintaining trading accounts, product financing, fund management or the firm's business, subject to exclusions

such as amounts already directed to repay the customer's debt, pay the customer/another entitled person, pay proper charges, or certain institutional OTC transactions. Customer assets are beneficially owned securities and assets other than money, subject to the institutional OTC carve-out.

2.9.1–2.9.2 Customer money Treat customer money as belonging to the customer. Retail customer money for OTC derivatives must be segregated in trust; other retail money and non-retail money must be placed in a permitted trust/segregated account or an account directed by the customer under the rules. Deposit by the next business day. Do not commingle with firm money or use it for another person's margin, guarantee or credit. Permitted institutions include licensed banks, merchant banks and finance companies; certain foreign-currency deposits may be placed with an authorised foreign custodian with prior written consent.

Disclose trust-account arrangements, commingling, insolvency consequences, clearing-house placements and foreign-jurisdiction risks to retail customers. Perform initial and periodic due diligence on the financial institution and obtain its written acknowledgement that the money is held on trust, separately designated and not subject to set-off for the firm's debt. Customer money may be placed with clearing houses/members to facilitate positions or invested in permitted government securities/debt instruments. Interest and returns belong to customers, except the firm may retain returns on its own money advanced to maintain the account. Withdrawals are limited to entitled payments, customer obligations, proper charges, written directions (with the retail exception), reimbursement of advances without creating underfunding, clearing/investment purposes or lawfully authorised purposes.

2.9.3 Customer assets Deposit customer assets in a custody account on trust, separately from firm assets, normally by the next business day. Permitted custodians include banks, merchant banks, finance companies, depository agents, approved trustees and licensed custodians; a foreign custodian requires prior written consent. Disclose commingling, insolvency and foreign-law risks. Obtain the custodian's written acknowledgement and conduct initial and periodic suitability due diligence.

Customer agreements must explain instructions, authority, liens/security interests, collateral realisation, custodian default, commingling records, registration, income/entitlements, information and fees. Custody agreements must require separate identification, restrict liens and withdrawals, provide records, entitlement procedures, custodian liability and fees. Lending specified products requires risk explanation and written consent for retail/non-exempt customers, plus agreements. A mortgage/charge/pledge/hypothecation must not exceed the amount owed; retail customers require disclosure, risk explanation and written consent. Withdrawals are allowed only for entitled delivery, customer obligations, written instructions, specified-product lending, lawful collateralisation, clearing-house purposes or law.

Chapter 3 — Market conduct

3.1–3.2 Scope

Market conduct rules protect fair, efficient, orderly and transparent markets. They apply to acts in Singapore involving products listed or quoted inside or outside Singapore, and to acts outside Singapore involving products listed or quoted on a Singapore organised market. This extraterritorial reach is a frequent examination point.

3.3 False trading and market rigging

Prohibited conduct includes creating an appearance of active trading, buying and selling without changing beneficial ownership, acting recklessly in a way likely to create a false or misleading market appearance, and transactions intended to mislead about price or market activity. A wash sale is a transaction with no real change in beneficial ownership. Matching orders are coordinated buy/sell orders entered with knowledge of the other side to create a false market.

3.4 Securities-market manipulation

It is prohibited to effect two or more transactions in securities or securities-based derivatives that raise, lower, maintain or stabilise price with the intention of inducing others to trade. Trading through several customer accounts or using fictitious orders to support a price can be manipulative.

3.5 False or misleading statements and information

It is prohibited to disseminate materially false or misleading information likely to induce subscription, buying or selling, or raise/lower/maintain/stabilise a price, where the person knows or should know it is false or is reckless as to truth. The medium may be research, newsletters, electronic communications, media or word of mouth.

3.6 Fraudulently inducing dealing

A person must not induce or attempt to induce dealing through a knowingly misleading/false/deceptive statement, dishonest concealment of a material fact, reckless publication, or storing/recording materially false information.

3.7 Manipulative and deceptive devices

Section 201 is a broad anti-fraud rule. It covers schemes or devices to defraud, practices likely to operate as fraud or deception, materially false statements, and omissions of material facts needed to make statements non-misleading. Spoofing-like conduct in a pre-open or pre-close phase—placing large orders with no intention to execute and cancelling them to move the price—is the type of conduct the section captures.

3.8 Dissemination of information about illegal transactions

It is an offence to circulate information that a price will rise, fall or be maintained because of an illegal transaction. An illegal transaction includes false trading, rigging, manipulation, false statements, fraudulent inducement and deceptive devices. Liability may arise where the person or an associate entered or purported to enter the illegal transaction, or received/expected a benefit for circulating the information.

3.9 Insider trading

Inside information is not generally available information that would be likely to materially affect price or value and influence persons who commonly invest. Information is generally available if it is observable, publicised in a way likely to reach investors and a reasonable dissemination period has elapsed, or is a reasonable deduction/inference from such information.

Connected persons include officers, substantial shareholders and people whose professional/business relationship gives access to price-sensitive information, including lawyers, accountants, bankers, investment bankers, public-relations advisers, consultants and transaction counterparties. For a connected person, possession of non-public information and the statutory presumptions are central. A non-connected person may still be liable if he knows the information is non-public and price-sensitive, regardless of the source and regardless of an intention not to use it. Persons must not trade, procure another to trade or communicate the information to facilitate trading.

Exceptions/defences include specified CIS redemptions, underwriter activity, legally required transactions or communications, corporate/partnership knowledge rules where Chinese walls apply, a person's own transaction knowledge, corporate own-transaction knowledge, parity of information and the broker-dealer exception where the instruction was unsolicited, there was no advice and the principal is not an associate. If unsure, stop and consult compliance.

3.10 Securities hawking

Securities hawking is offering securities, securities-based derivatives or CIS units in an unsolicited meeting. It is designed to prevent pressure selling and "boiler-room" practices. The prohibition does not apply in the same way to qualifying offers to institutional or accredited investors and certain products not requiring a prospectus.

3.11 Other market conduct rules

- **Short selling:** a covered short sale has borrowed or arranged delivery; an uncovered/naked short sale does not. Short selling can improve liquidity and price formation but can increase volatility and settlement risk. CDP may conduct buying-in and charge purchase cost plus the applicable penalty for failed delivery.
- **Marking sell orders:** a seller must identify a short-sale order and quantity/value before or when placing it. If an order is partly owned and partly short, split and mark the relevant portions. SGX publishes aggregated short-sale information.
- **Short positions:** when a net short position crosses the MAS threshold, report identity/business information, position and changes.
- **Specified-product borrowing/lending:** collateral must generally be at least 100% of market value, marked to market daily, and the agreement must cover capacity (agent/principal), title transfer, collateral, corporate actions, valuation/margin shortfalls, return, termination/default, fees, governing law and jurisdiction. Explain risks and obtain written understanding for non-exempt customers; exemptions can apply for accredited, expert and institutional investors.

3.12 Penalties

Market misconduct may result in criminal fines/imprisonment, civil penalties, compensation for other market participants' losses, licence suspension/revocation, disciplinary action and reputational damage. The source focuses on the categories and consequences rather than memorising the amount of penalties.

Chapter 4 — Ethics, codes and standards for securities dealing

4.1 Ethics and importance

Ethics are moral principles or rules guiding behaviour when it affects others. Ethics goes beyond the minimum law: it is doing the right thing even when no one is watching. Ethical failure can damage an individual, firm, market confidence and the wider financial ecosystem; interconnected markets allow harm to spread across borders.

4.2 Ethical framework

The framework is a client-centred cycle:

1. **Understand products/services:** know features, risks and suitability.
2. **Analyse risks objectively and independently:** consider client risk tolerance and financial capacity.
3. **Execute solutions quickly, fairly and transparently.**
4. **Serve customers with honesty and integrity.**
5. **Safeguard the firm's reputation and market integrity.**

Unethical behaviour can be driven by client pressure, weak knowledge/supervision, personal financial or status incentives, or peer/senior pressure. Six preparation steps are: put clients first; emphasise integrity, competence, diligence and respect; exercise care and independent judgement; build trust and observe market conduct; disassociate from a problematic deal; and seek compliance/legal guidance.

4.3 Ethical dilemmas

An ethical dilemma is a conflict between a proposed action and ethical standards, rules or professional obligations. Key threats are self-interest, self-review and influence. Identify facts before assumptions and do not let sales targets convert an unsuitable product into a recommendation.

4.4 Professional ethics and standards

Core principles are integrity, competence, diligence and respect; putting profession/client interests above personal interests; reasonable care and independent judgement; conduct that reflects credit on the profession; promotion of market integrity; and continuing competence.

4.4.1.1 Professionalism Know and follow applicable law, including SFA/FAA requirements and exchange rules; maintain independence/objectivity; do not misrepresent; do not engage in dishonest, fraudulent or deceptive misconduct; and maintain competence. Gifts, benefits, compensation and pressure must not compromise judgement.

4.4.1.2 Integrity of capital markets Do not trade or induce others to trade on material non-public information. Typical information includes earnings, mergers, asset-quality changes, new business/licences, management changes, qualified audit opinions, disputes, bankruptcy, regulatory breaches and credit-rating changes.

4.4.1.3 Duties to clients Act with loyalty, prudence and care; deal fairly; make suitable recommendations based on reasonable inquiries into objectives, financial situation, needs, risk appetite and total portfolio; present fair, accurate and complete performance information with valuation basis and sources; and preserve confidentiality unless illegal activity, law or client permission permits disclosure. Execution-related advice on listed EIPs requires rationale and prescribed disclosure; broader advice may require FAA appointment.

4.4.1.4 Duties to employers Be loyal, protect confidential information and firm opportunities, follow the code of conduct and remain fit and proper. Employers should provide clear policies, training, balanced remuneration and whistleblowing channels. Representatives must not solicit former clients or take client lists, trade secrets or confidential material without permission. Additional compensation that conflicts with the employer requires written consent. Supervisors must make reasonable efforts to ensure subordinates comply; whistleblowing is expected where silence could imply collusion.

4.4.1.5 Investment analysis, recommendations and actions Use diligence, independence and thorough research; have a reasonable basis; retain supporting records; explain the investment process, material changes, limitations, risks, important factors, costs and the distinction between fact and opinion. Communications through email, mobile, blogs and other media must comply with firm controls.

4.4.1.6 Conflicts of interest Avoid conflicts or make full, fair, prominent and plain-language disclosure. Examples include personal/proprietary positions, family interests, cross-department information, ownership of stock, outside directorships and multiple-principal activity. Refrain from deciding when conflicted and escalate independently. Give client trades priority over personal trades and do not negotiate private referral fees outside approved arrangements.

4.4.2 Compliance procedures Use Chinese walls and segregate sales, dealing, research, proprietary, risk, compliance and audit functions. Resist undue influence from issuers or sponsors and control gifts/entertainment. Protect research integrity through objective analysis, personal-investment policies, restricted lists and compensation that does not reward compromised opinions.

4.5 Resolving ethical dilemmas

Use a six-step process: gather facts; identify ethical/regulatory issues; identify affected parties and conflicts; consult internal reporting/whistleblowing procedures; evaluate alternatives; implement the best action, monitor and document the reasoning. Documentation helps prove what was known, what was considered and why the action was reasonable.

Chapter 5 — Securities dealing practices and skills

5.1–5.2 Onboarding and profiling

Onboarding combines AML/CFT KYC with investment profiling. Gather identity/background, objectives, experience, financial capacity, employment/retirement status, structures and investment horizon. Use simplified CDD only for genuinely low-risk cases; use EDD for high-risk clients such as PEPs, high-risk businesses and opaque structures.

Investor categories:

- **Accredited investor (AI):** includes individuals meeting the prescribed net-asset, financial-asset or income thresholds; corporations/entities/trusts and partnerships meeting prescribed ownership or asset tests. Opt-in and opt-out requirements apply.
- **Institutional investor (II):** includes governments/statutory bodies, central banks, licensed banks/merchant banks/finance companies/insurers/trust companies, pension funds/CIS, CMS holders, exchanges/clearing houses, prescribed fund managers and other prescribed institutions.
- **Expert investor (EI):** persons whose business involves acquiring, disposing of or holding capital markets products and prescribed trustees/persons.
- **Retail investor:** everyone else and the highest level of protection.

Correct classification affects disclosure, product access, SIP rules and exemptions. A risk profile should normally be independently reviewed under a four-eyes principle and explained to the client. Do not simply increase a risk rating because the client wants a riskier product; document any disagreement and advice. Consider mental capacity and coercion.

Before advice, obtain investment objectives, financial situation and needs. If the customer rejects the recommendation, document the decision and warn that the advice did not take those factors into account. Keep records, normally at least five years as good practice. Conflicts need not be repeated only while the prior disclosure remains accurate, complete and reasonably known; disclose again if stale or uncertain. A disclaimer cannot remove SFA/FAA liabilities.

5.3 Coherent investment/trading strategies

Explain the portfolio mix, asset classes, products, geographies, percentages and reasons for inclusion, and document why it matches the risk profile. Periodically report performance, explain variances and explain proposed strategy changes and time horizons.

5.4 Best execution

Best execution means reasonable steps to obtain the most advantageous overall result, considering price, costs, speed, likelihood of execution and settlement, size, execution quality and the client's instruction. Written policies must provide best available terms and priority by time of receipt for comparable orders. Do not receive Payment for Order Flow. Monitor policy effectiveness and clearly disclose it.

Consider speed/likelihood in volatile markets, price improvement and total costs, size/liquidity, overall execution quality, client-specific instructions, all factors holistically, monitoring and written customer disclosure. Specific instructions govern specified parameters; unclear parameters are filled using best-execution principles. An agent executes under mandate; a principal trades on own behalf and must agree the trade. Cross trades must be in the best interests of both clients and never between staff personal and client accounts. Do not permit late trading in CISs. Quotes must be firm unless qualified;

do not make frivolous quotes or park positions to conceal profit/loss. Only authorised staff should deal in FX/NDFs; off-market rollovers are a fraud risk.

5.5 Risk management and internal controls

The board/senior management should approve proportionate policies, review them, maintain ethical codes, segregate duties, mark positions to market, report exposures/P&L at least daily, protect premises and systems, use independent valuation, reconcile independently, record calls/instructions, promptly confirm orders, validate settlement instructions and use stress testing, liquidity projections, margin and credit limits. Controls should cover suitability/risk disclosure, CDD, records, MIS, margin calls, liquidity, access, valuation, reconciliation, trade confirmation, funds transfers and escalation of unsuitable trades.

5.6 Account types

- **Personal:** cash or margin; check funding, margin, authorised instructions and POA; death can trigger probate.
- **Joint:** clarify who may operate the account, mandates and joint liability; credit and dispute risks increase and death may freeze assets.
- **Personal investment holding company:** verify mandates, authorised operators, objectives, asset classes, geographies and portfolio restrictions.
- **Trust:** obtain the trust deed and identify trustee powers and authorised instructing parties.
- **Corporate/institutional:** verify board resolutions and authorised contacts, mandates and UBOs. Offshore SPVs require enhanced diligence, source-of-wealth/funds review, tax-residency/FATCA/AEOI information and careful tracing of ownership.

5.7 Trust-based client relationship

Stay current on rules/products, communicate risk and costs, document, understand product/originator reputation, respect objectives, disclose conflicts, prioritise clients and seek best price. Relationship management is continuous; update KYC and financial circumstances, review discrepancies and communicate material facts, process, limitations, critical factors, fact/opinion distinction and records.

5.8 Credit risk

Credit risk is loss when a counterparty cannot perform. Set credit strategy and limits by customer/group, industry, geography and risk tolerance. Assess financial capacity, repayment, credit history and collateral. Monitor margin and exposures; call for top-ups or liquidate under the agreement if collateral falls below threshold, and consider legal action if defaults continue.

Chapter 6 — CPF Investment Scheme (CPFIS)

6.1–6.2 Structure and history

CPFIS began with OA investing in 1987 and expanded to SA in 2001. **CPFIS-OA** uses Ordinary Account money and requires a CPF Investment Account. **CPFIS-SA** uses Special Account money and does not require that investment account.

OA products include fixed deposits, Singapore Government bonds/T-bills, statutory-board bonds, government-guaranteed bonds, annuities, endowment policies, fund-management accounts, ILPs, unit trusts and ETFs. Up to 35% of investable savings may be used for shares, property funds/REITs and corporate bonds, and up to 10% for gold products. SA permits specified lower-risk products and selected ILPs/unit trusts/ETFs, subject to CPF classification. Only OA money above $S20,000 and SA money above S40,000 is generally investible so the first S$60,000 earns additional interest; permitted regular-premium insurance and agent-bank fees are treated separately.

6.3–6.6 Investment account, eligibility and process

An agent bank—DBS, OCBC or UOB—holds the CPFIS-OA investment account for settlement and holdings; a member may have only one. Eligibility requires age 18 or older, not being an undischarged bankrupt, and exceeding the OA/SA thresholds. New investors must complete the Self-Awareness Questionnaire. Bring identity documents, SAQ status and CPF statement. Inform the dealer of account details before trading. A qualifying SGX-listed CPFIS-OA purchase may be sold one trading day later if entered successfully and sufficient funds/limits exist.

6.7 Service providers

Fixed deposits use included banks; government bonds/T-bills and statutory-board bonds use permitted bond dealers/brokers; guaranteed bonds use brokers; annuities/endowments/ILPs use included insurers; unit trusts use fund managers/administrators; fund-management accounts use approved fund managers; shares/property funds/corporate bonds/ETFs use brokers; gold ETFs use brokers and other gold products use the permitted agent-bank route, currently UOB for the source's examples.

6.8 Product inclusion criteria

Products generally require provider application and CPF Board review. Investments must normally be in Singapore dollars and cannot be assigned, pledged or used as collateral. Criteria cover included banks and credit quality, scripless SGD government securities, Mainboard listing and disclosure for statutory-board/government-guaranteed/corporate bonds, life insured and maturity restrictions for insurance, fund-manager eligibility and peer/expense/track-record requirements for unit trusts, SGX listing/physical replication/tracking/expense requirements for ETFs, Singapore incorporation/Mainboard/proxy rights/watch-list restrictions for shares and property funds, credit ratings and disclosure for corporate bonds, and physical-gold/backing/proxy requirements for gold ETFs.

6.9–6.11 Transfers, profits and charges

Members may transfer cash from the CPF Investment Account to OA. The bank automatically transfers cash if the account is inactive for two consecutive months, and unused IPO application money is returned. Dividends/profits remain in CPF and cannot be withdrawn as ordinary cash; losses do not need to be made good. Charges may be paid from CPF savings. The source notes sales charges were removed from October 2020 and the wrap-fee cap reduced to 0.4% after earlier reductions.

6.12–6.14 Release, bankruptcy and death

At age 55, investment holdings/cash may be released subject to the required retirement sum—FRS or BRS with sufficient property charge/pledge. Without the requirement, holdings remain within CPF and sale proceeds return to the relevant CPF account. Undischarged bankrupts may hold or liquidate existing CPFIS investments but cannot make new investments; CPFIS assets remain protected from creditor/Official Assignee claims while within the scheme. At death, CPFIS investments and OA investment-account cash form part of the estate and are not covered by CPF nomination. Insurance policies with valid revocable nominations may pay nominated beneficiaries directly; otherwise the administrator/executor needs Letters of Administration or Grant of Probate. Protection may cease after death and assets can meet creditor claims under probate law.

Chapter 7 — Prevention of financial crimes

The RES 1B and RES 2B Chapter 7 chapters cover the same core AML/CFT framework. The following consolidated teaching treatment applies to both modules.

7.1 Financial crime, ML, TF, sanctions and fraud

Financial crime includes money laundering, terrorism financing, embargoes/sanctions and fraud. CMIs must exercise due diligence on customers, persons acting for them, connected parties and beneficial

owners; maintain high ethical standards; avoid business/transactions connected with ML/TF; and co-operate with law enforcement.

Money laundering disguises criminal proceeds as legitimate. The classic stages are placement (introducing benefits into the financial system), layering (creating transactions and asset conversions that obscure the trail) and integration (returning funds as apparently legitimate wealth). The stages may overlap or occur in a different order. Capital markets are attractive for layering because assets are liquid, transferable and easily converted.

Terrorism financing may use illegal or legitimate sources—such as robbery, donations, publications, businesses or self-funding—and may involve small amounts. Third-party payments and transfers therefore require care.

Embargoes and sanctions may target countries, named persons/entities, sectors or products. Shell companies, opaque ownership, bearer shares and multiple layers can conceal designated ultimate owners. CMIs must trace ownership/control to natural persons, screen lists, freeze and report designated assets and avoid prohibited transactions/services. Singapore implements UN sanctions through MAS regulations under FSMA 2022.

Fraud involves deception/dishonesty to gain an advantage at another's expense. Internal fraud can involve an employee selling client assets and diverting proceeds; external fraud can involve hacking or impersonation. Controls include independent verification, call-backs, dual controls, clean-desk and audit.

7.2 Singapore AML/CFT regime

Singapore follows FATF standards. MAS Notices and Guidelines place prevention responsibility on financial institutions and their staff. A risk-based approach requires controls commensurate with customer, country, product, service, transaction and delivery-channel risk.

7.3 Main laws

- **Penal Code:** general criminal offences.
- **CDSA:** criminalises dealing with, concealing, transferring, acquiring, possessing or using benefits of drug dealing/criminal conduct; covers assisting retention, reporting, production/search powers, tipping-off and record retention.
- **MACMA:** enables mutual assistance in cross-border investigations/proceedings.
- **TSOFA:** criminalises providing/collecting property for terrorist acts, providing property/services for terrorist purposes, using/possessing property for terrorist purposes and dealing with terrorist property; imposes reporting duties.

The CDSA framework also includes STR filing, statutory protection for good-faith reporting, five-year retention of financial transaction documents and compliance with production, restraint, charging and confiscation orders.

7.4 MAS notices and sanctions guidance

MAS Notice SFA 04-N02 and its Guidelines set CMI obligations for CDD, risk management, controls, reporting and governance. Sanctions guidance requires enhanced attention to sanctioned countries/persons, correspondent banking and front companies, freezing/reporting, strong board oversight and effective detection.

7.5 Targeted financial sanctions

Financial institutions must immediately freeze designated funds/assets/economic resources, avoid financial transactions or assistance involving designated persons/items or sanctioned proliferation/nuclear activities, and notify MAS. Screen clients, connected parties and beneficial owners before onboarding and periodically. Current sanction lists must be checked rather than relying on an old list.

7.6 Tax crimes as predicate offences

Since 1 July 2013, specified direct and GST tax crimes are ML predicate offences. Direct-tax offences include false information or records to obtain PIC cash payouts/bonuses (Income Tax Act sections 37M(3), 37M(4)), tax evasion (section 96) and serious fraudulent tax evasion (section 96A). GST offences include tax evasion (section 62) and improperly obtaining refunds (section 63). CMIs must identify tax-related risk, conduct CDD/monitoring and file STRs where warranted.

7.7 Three lines of defence

1. **First line — business units:** identify, assess and control risk in onboarding, front office and operations.
2. **Second line — compliance/AML-CFT and support functions:** monitor, sample-test, review exceptions, advise and escalate to senior management/board, and liaise with authorities.
3. **Third line — independent internal audit:** periodically evaluate the framework, controls, alert parameters, training and remediation and report independently to the audit committee/board.

Board and senior management retain final accountability.

7.8 Governance

The board and senior management set risk appetite and tone, receive meaningful information about current/emerging risk, assess control effectiveness, understand legal developments, resource compliance, escalate weaknesses, monitor remediation and integrate AML/CFT effectiveness into performance and disciplinary decisions.

7.9 Client onboarding and KYC

Do not open anonymous or fictitious-name accounts. Collect identity, address/residency, age, employment, education, family/lifestyle, business, incorporation, financials, organisation, directors, shareholders, authorised persons, connected parties and UBO details. Investigate source of wealth/funds, business/income, political links, experience, objectives and risk appetite.

Use official identity documents, reliable databases, company records, financial statements, bank statements, trust deeds, board/trustee resolutions and certificates of incumbency/good standing. Internet, news and intermediaries may be leads but need corroboration. Where originals cannot be retained, record what was verified, the original's description, why no copy was possible, who verified it and the date.

Identify beneficial owners: generally individuals owning more than 25%; if unclear, persons exercising ultimate control; if none, natural persons with executive authority. For trusts/legal arrangements, identify settlor, trustee, protector, beneficiaries and persons with ultimate ownership/control. Certain listed/supervised institutions may qualify for a documented BO-identification exemption, but doubts or suspicion require full diligence.

Source-of-funds review asks whether funds are legitimate, unexpected, owned by the customer, consistent with wealth/profile, consistent with the business and linked to higher-risk jurisdictions. Risk scoring may consider PEP status, country, activity, wealth, flow-through, client visits, complexity, unusual services and origin/destination of funds. Higher-risk examples include personal holding companies, trusts, gambling, remittance, precious metals/diamonds and cash-intensive businesses. Complex structures need a business rationale, financial statements, site visits, screenings and periodic review.

Non-face-to-face relationships need controls as stringent as face-to-face: MyInfo where applicable, secure video/signatures/biometrics, independent call-backs, fraud controls and assessment of technology. Identity should be verified before onboarding or a transaction exceeding S$20,000; limited deferral may be used only for essential business continuity with close controls, completion as soon as practicable and the source's 30-business-day suspension and 120-business-day termination milestones.

Screen clients, agents, connected parties and UBOs before onboarding, after onboarding, periodically, after a transaction over S$20,000 for a non-account client and when sanction lists or party information changes. Document results and use four-eyes review of alerts. A positive sanctions hit requires freezing/reporting, not merely monitoring.

Simplified CDD is limited to documented low-risk cases such as transparent listed companies, qualifying supervised financial institutions and Singapore government entities. It is unavailable where suspicion exists or high-risk jurisdiction/conditions apply. Reliance on another regulated institution does not remove the CMI's responsibility; third-party reliance is distinct from outsourcing, and ongoing monitoring cannot simply be delegated away.

For joint accounts, perform CDD on each holder. Aggregate linked/structured transactions where a customer appears to split a transaction to stay under S$20,000. Existing clients, non-account holders and related transactions require proportionate CDD and reconstruction records. EDD applies to high-risk customers, PEPs, opaque/bearer-share structures, high-risk countries, unusual distance, cash-intensive businesses, anonymous products and unexplained third-party payments.

PEP controls include identification of Singapore and foreign PEPs, immediate family and close associates; senior-management approval; source-of-wealth/funds establishment; and enhanced ongoing monitoring. PDPA generally requires consent, but the Notice may permit collection/use/disclosure for AML/CFT purposes within the prescribed exceptions.

Retain client information for five years after termination and transaction records for five years after completion, in admissible paper/electronic/microfilm form. Preserve records longer or as directed where an investigation or STR exists.

Report suspicious transactions, including attempts, regardless of amount, to STRO/CAD with a copy to MAS. The CMI need not prove the crime; reasonable grounds for suspicion are enough. The internal process should refer cases to a single compliance point, investigate and file as soon as practicable and generally no later than 15 business days after referral. Material suspicious activities/fraud may trigger the separate MAS reporting requirement, and fraud may also require a police report. Never tip off a client or other person.

Ongoing monitoring tests consistency with the client profile, business, source of funds and risk. Aggregate related accounts/positions, investigate unusual/complex/large transactions without an apparent lawful purpose and document findings. Higher-risk clients need more frequent reviews; triggers include significant transactions, material changes in account operation, major policy changes and insufficient information. Tax-related review considers tax-residency changes, information-exchange arrangements, CRS/AEOI and tax-amnesty participation.

7.10 Enterprise-wide risk assessment

Assess clients, countries, products, services, transactions, delivery channels and business lines across the firm, using qualitative and quantitative analysis. Weight risk factors in a calibrated manner. Review at least every two years or on material triggers such as new client segments, products or delivery channels; document and obtain senior-management approval. Implement controls and enhanced measures for higher risks.

7.11 New products, practices and technologies

Before launch, assess ML/TF risk separately from credit, market and operational risk, especially where anonymity is increased. Senior management and heads of business, risk and compliance should approve mitigation.

7.12 Operational controls

Control premises, systems, data integrity, passwords and privileged access on a need-to-know basis; change passwords; prohibit sharing; use clean-desk, dual payment control, hold-mail controls, IT/fraud training and audit. The source's "FRAUD" reminder is: **Follow** policy, **Report** concerns, **Act** on suspicion, **Unite** with management/enforcement and expect **Disciplinary**/criminal consequences.

7.13–7.15 Reporting, penalties, policy, audit and training

Maintain a central reporting point, STR register and supporting records. Non-compliance creates legal, regulatory, financial, civil/commercial and reputation risk; tipping-off is itself an offence. Group policies should extend across branches/subsidiaries, share necessary CDD/transaction information and apply the higher standard where local law permits. Compliance needs a qualified, resourced AML/CFT officer with access to records; internal audit must be independent and adequately resourced. Training must be tailored, recorded, effective and refreshed at least every two years. Hiring checks should cover past employers, AML/TF information, bankruptcy and risk-based credit history.

7.16 Effectiveness

MAS's three-pillar view is:

- **Governance:** board/senior-management tone, oversight, resources, reporting and remediation.
- **Risk awareness:** ownership, accountability, tailored guidance, red flags, escalation and continuous learning.
- **Execution:** effective policies, calibrated monitoring, enhanced CDD, timely escalation, STRs and closure of past issues.

RES 1B appendices

Appendix A — Fit and Proper Criteria

Assess **honesty, integrity and reputation; competence and capability; and financial soundness**. Failure on one factor is not automatically determinative; consider seriousness, relevance to duties and time elapsed. Review regulatory discipline, criminal/civil proceedings, dishonesty, misrepresentation, complaints, prohibited status, unwillingness to comply, untruthfulness to regulators, insolvency, dismissal, competence/qualification, concurrent conflicts, bankruptcy, unsatisfied judgments, winding-up and receivership. Firms must have proper shareholders/directors/officers and recruitment/control processes.

Appendix B — CAR criteria

Knowledge/experience may be demonstrated by prescribed diploma/degree subjects, professional finance qualifications, at least six listed-SIP transactions in the preceding three years, or three consecutive years of relevant investment-product work in the preceding ten years. An independent learning module may help where the customer initially fails.

Appendix C — CKA criteria

The education and professional-qualification routes are similar. Experience is product-specific: at least six CIS/ILP transactions for those products, or six other unlisted-SIP transactions for other unlisted SIPs in the preceding three years, or three consecutive years' relevant work in the preceding ten years. An approved independent module may help.

Appendix D — Overseas-listed risk warning

The warning covers different regulation/investor protection, legal systems and redress, reporting/accounting language, repatriation and foreign-investor restrictions, tax, currency/exchange controls, additional fees, foreign counterparties/correspondent brokers and political/economic/social conditions. Obtain acknowledgement before first transaction.

Appendix E — Excluded Investment Products

The list includes ordinary shares, certain share units, issuer rights/options/derivatives, business-trust units and derivatives, listed real-estate CIS units, certain tightly limited CIS structures, debentures

other than specified asset-backed securities/structured notes, immediate currency-exchange arrangements and stapled combinations of EIPs. Classification must remain accurate and current.

Appendix F — Suspicious transaction examples

Red flags include economically irrational trading, many accounts and transfers, immediate withdrawals, sudden dormant-account activity, unexplained delinquent repayment, unclear investment-management source of funds, large cash or cash-like deposits, third-party cheques, employee/company transfers, offshore structured movements, unknown beneficiaries, unexplained collateral, high-risk cross-border transfers, pseudonyms/numbered accounts, tax-evasion indicators, terrorism links, frequent signatory changes, rapid use of incoming funds as collateral, unusual young-person transfers and unregulated intermediaries. A single flag is not conclusive; assess the combination and plausibility.

Appendix G — Review questions

The source questions cover licensing changes, overseas-product warnings, statements, trust-account advances, extraterritorial market conduct, false information, connected persons, securities lending, penalties, ethics, conflicts, risk profiling, investor category, recommendations, best execution, client relationships, CPFIS and AML. They are orientation questions, not a complete study substitute.

The 30 source questions are organised as follows:

1. **Chapter 2:** notification of changes to a CMS licence holder's records; fit-and-proper considerations for representatives; the signed overseas-listed product risk-warning acknowledgement; monthly account statements and exceptions; and permitted advances of a CMS holder's money to a customer trust account.
2. **Chapter 3:** extraterritorial insider trading; techniques for circulating false or misleading information; connected-person transactions; securities borrowing and lending conditions; and civil, criminal and other consequences of market misconduct.
3. **Chapter 4:** external influences on ethical judgement; self-interest threats; misrepresentation; conflicts of interest; and applying an ethical decision framework.
4. **Chapter 5:** the four-eyes control for objective risk profiling; investor-category classification; information required at onboarding; best execution; and practices that build a strong client–representative relationship.
5. **Chapter 6:** the 35% CPFIS-OA limit, agent banks, eligibility, ETF inclusion criteria and the probate document used to claim residual CPFIS investments after death.
6. **Chapter 7:** placement, layering and integration; the main money-laundering statute; five-year document retention; KYC information; and the response to a sanctions-list match.

The source warns that these questions familiarise candidates with scope, general nature and format; they do not cover all examination material. The expanded question bank in `RES12B_QUESTIONS.md` therefore includes both these themes and additional application questions.

Appendix H — Essential readings

The source points learners to the primary material rather than treating the study guide as a substitute for law. The listed readings include:

- Securities and Futures Act;
- Securities and Futures (Licensing and Conduct of Business) Regulations;
- Securities and Futures (Financial and Margin Requirements for Holders of Capital Markets Services Licences) Regulations;
- Guidelines on Criteria for the Grant of a CMS Licence (SFA 04-G01);
- Guidelines on Fit and Proper Criteria (FSG-01);
- MAS Notice on Reporting of Misconduct of Representatives (04-N11);
- MAS Notice on Competency Requirements for Representatives (04-N22);
- MAS circular on due-diligence checks and documentation for appointed, provisional and temporary representatives;

- MAS Notice on Sale of Investment Products (SFA 04-N12);
- Banking Secrecy Act and Personal Data Protection Act;
- CPF Investment Scheme materials;
- Corruption, Drug Trafficking and Other Serious Crimes (Confiscation of Benefits) Act;
- Mutual Assistance in Criminal Matters Act;
- Terrorism (Suppression of Financing) Act;
- MAS capital-markets AML/CFT notice SFA04-N02 and its guidelines;
- MAS Notice 626 for banks;
- Income Tax Act and Goods and Services Tax Act; and
- the applicable MAS and SGX rules and guidance.

These materials were identified in the source as available from Singapore Statutes Online, MAS or CPF. Treat the current statutory text and MAS/SGX rules as authoritative for live practice.

Part II — RES 2B

Chapter 1 — The capital markets industry and derivatives participants

1.1 Introduction

The primary market raises capital through shares, bonds/fixed-income securities and company warrants. The secondary market allows investors to transfer risk and manage positions. Futures, options, warrants and leverage certificates are examples of derivatives. OTC markets are decentralised and negotiated; exchanges centralise orders and provide price/quantity discovery. Trading requires exchange membership or a Trading Member relationship.

1.2 Institutional participants

Banks, CMS broker/dealers and fund managers participate in derivatives markets. Broker/dealers do not take deposits; they match or route orders and may be Trading or Clearing Members. Fund managers manage segregated mandates and collective schemes across bonds, equities and derivatives.

Remote overseas trading/clearing members may be exempt if they are foreign-incorporated, members of the relevant venue, do not serve Singapore residents, are not Singapore-regulated financial institutions, are supervised at home and have a suitable MAS information-sharing arrangement. A remote SGX clearing member also cannot have a MAS-regulated financial-institution affiliate.

1.3 Regulatory bodies and rule sources

The objectives and roles of MAS, SGX, SGX RegCo, SGX-ST, CDP, SGX-DT and SGX-DC are as described in RES 1B. RES 2B also covers:

- **IFSG:** approved derivatives exchange under the SFA, with IFSG Rules governing members.
- **ICE Clear Singapore:** approved clearing house and central counterparty for IFSG futures; ICE Clear Rules govern members.
- **APEX:** approved international derivatives exchange for commodity and financial futures/options across agriculture, energy, metals and RMB-related products.
- **APEX Clear:** approved clearing house/central counterparty for APEX products.

The relevant sources include SFA/SFR, SGX-ST Mainboard/Catalist and Trading Rules, CDP Clearing/DVP/Depository Rules, SGX-DT Futures Trading Rules, SGX-DC Clearing Rules, IFSG Trading Rules and Procedures, ICE Clear Singapore Rules and Procedures, and APEX/APEX Clear Rules and Procedures.

Chapter 2 — Licensing and business operations

2.1–2.2 Licensing and base capital

Corporations dealing in derivatives as principal or agent require the appropriate CMS licence unless exempt. A variation is required to add a regulated activity or additional product. The main BCR tables are:

Activity/entity	BCR
Exchange-traded derivatives: clearing member	S$5m
Exchange-traded derivatives: trading member or non-member	S$1m
Exchange-traded derivatives: introducing broker	S$500k
Exchange-traded derivatives: other	S$50k
OTC derivatives: clearing member	S$5m
OTC derivatives: non-clearing member with retail clients	S$5m
OTC derivatives: non-clearing member with only non-retail clients	S$1m
OTC derivatives: other	S$500k
Specified commodity futures: clearing member	S$1m
Specified commodity futures: non-clearing member/non-member	S$500k
Specified commodity futures: introducing/restricted broker	S$250k
Leveraged FX: retail clients	S$5m
Leveraged FX: AI/II/EI clients	S$1m

The other application, management, notification, lapse, approval and duty requirements parallel RES 1B, but derivatives firms must also account for exchange/clearing-house membership and product-specific controls.

2.3 Representatives

Representatives need notification/registration and may act for one principal unless permitted otherwise. Competency, education, relevant experience, CMFAS, fit-and-proper, identity, work-authorisation, past-record, bankruptcy and credit checks apply. RNF status, public register, RNF number, cessation, seven-day individual notification, 14-day principal notification and continuing education requirements apply as described for RES 1B.

2.4 Advertising

Product advertisements must be truthful, fair, balanced, clear, legible, properly approved and carry the MAS non-review statement. Non-product advertisements must not mislead, falsely promise free services or exploit inexperience.

2.5 Confidentiality

Customer order information may be disclosed only where needed for execution, permitted by market/clearing rules or required by MAS. Banking secrecy, PDPA, DNC checks and clear consent apply.

2.6 Opening and management of derivatives accounts

Before opening a derivatives account, provide a separate **Form 13** risk-disclosure document and obtain the customer's signed and dated acknowledgement that he received and understood it. Monthly statements show derivatives/spot-FX positions, establishment prices, marked-to-market unrealised profit/loss, custody assets, asset movements, customer money movements and charges/credits. Exceptions include clearing-house information, no account change and eligible non-retail real-time statements/written non-receipt. A quarterly statement is required if the last month of the quarter had no monthly statement.

Issue contract notes by the next business day. They should identify the firm, customer, date, derivatives type/quantity, price, consideration, adjustments, commission and taxes, and principal/dealing-against-customer status. For OTC derivatives, a transaction confirmation may replace the contract note if it states holder, counterparty, principal status, date, type and notional value.

2.7 Books and audit trails

Keep English books and records for at least five years, including customer/guarantor/authorised-trader information, money/assets, powers of attorney, agreements, Form 13/Form 14 acknowledgements, OTC account documents, orders, advertisements, communications, confirmations, proprietary trades, income/expenses, assets/liabilities and all OTC transactions. Audit, five-month filing, immediate auditor reporting, and prohibition on destroying/concealing/altering books apply.

2.8 Customer money/assets and fiduciary controls

Treat customer money/assets as belonging to customers and segregate them. Trust/custody accounts must be maintained with permitted institutions/custodians; conduct due diligence, obtain acknowledgements, disclose commingling/insolvency/foreign-law risks and ensure interest/returns accrue to customers. Investment of customer money is limited to permitted government securities/debt instruments with records. The firm may advance its own funds only to prevent underfunding/undermargin or maintain the account, and may retain returns on that advance.

Customer agreements and custody agreements must describe authority, liens, collateral realisation, commingling, registration, entitlements, information, liability and fees. Withdrawals are limited to customer/entitled payments, proper charges, customer directions, customer obligations, clearing/investment purposes, lending, lawful collateralisation or law. Customer assets may be mortgaged only up to the debt, with retail disclosure, risk explanation and written consent. Compute trust/custody account balances and required customer amounts at least daily, before noon each business day, retain supporting data five years. Do not transfer retail customer money title except for compliant specified-product lending.

2.9 Register of interests in listed specified products

CMS holders and representatives must record interests in listed specified products within seven days of acquisition, retain the entry at least five years, keep a copy in Singapore and provide it to MAS on request.

Chapter 3 — Market conduct for derivatives

3.1–3.2 Scope and prohibited conduct

Rules apply extraterritorially to derivatives listed/quoted outside Singapore when the act occurs in Singapore and to derivatives listed/quoted in Singapore when the act occurs abroad. Securities-based derivatives include derivatives on securities or securities indices, such as equity-index futures/options, leverage certificates and structured warrants.

3.3 False trading and market rigging

Do not create artificial activity, trade without beneficial ownership, act recklessly to create a false market or use transactions to mislead. Derivatives examples include hunting for stops—pushing bids/offers to trigger stop orders—and wash trades with no economic value, including coordinated accounts or same contract/strike/expiry trades.

3.4 Manipulating derivatives prices and cornering

Do not manipulate or attempt to manipulate a derivatives price or its underlying, and do not corner or attempt to corner the underlying. Cornering means acquiring enough of the underlying to control

price and force short sellers to cover at inflated prices.

3.5 Securities and securities-based derivatives manipulation

Do not effect two or more transactions that raise, lower, maintain or stabilise the price of securities or securities-based derivatives with an intention to induce others to deal.

3.6 False/misleading statements and 3.7 bucketing

False/misleading statements may be distributed through reports, media, electronic means or word of mouth and may induce buying/selling or affect price. **Bucketing** is taking the opposite side of a customer's derivatives order, or pretending to execute it, without a bona fide market purchase/sale. It denies competitive execution and is prohibited. Taking the opposite side requires prior consent and compliance with market rules.

3.8 Fraudulent inducement and 3.9 deceptive devices

Do not induce trading through knowingly false statements, dishonest concealment, reckless false/deceptive statements or false recorded information. Section 201 catches schemes, fraud, material false statements and material omissions.

3.10 Insider trading and 3.11 illegal-transaction information

Inside information, general availability, connected/non-connected persons, no-intention rule, exceptions and parity-of-information defences apply to derivatives and securities-based derivatives. Do not trade, procure trading or communicate inside information. Do not circulate information about illegal transactions to benefit from their price effect.

3.12–3.19 Trading-practice rules

- **Non-disclosure of orders:** order information stays confidential except for execution, market/clearing rules or MAS.
- **Withdrawal/withholding:** do not withhold or withdraw a customer order for self/another's benefit.
- **Trading against customer orders:** do not trade against a customer's futures order for the firm, an associate/connected person or an interested account unless prior consent and market-rule conditions are met.
- **Front running/priority:** do not trade personally before a customer's same-class order; comply with customer priority.
- **Cross trades:** simultaneous buy/sell orders for different accounts must be exposed/executed through the approved electronic system or according to market rules. The examples in the source test which side should be exposed first when prices differ in attractiveness.
- **Churning:** excessive trades to generate commissions without sound opportunities.
- **Overtrading:** positions must stay within firm, sponsor, exchange, clearing-house and regulatory limits; excess positions must be reduced.
- **Pre-arranged trades:** agreed or predetermined prices/trades between dealers/brokers undermine fair and transparent markets.

3.20 Penalties

Report suspected manipulation, false trading or insider trading promptly to MAS and the relevant exchange. Breach may lead to criminal/civil penalties, compensation, suspension/loss of licence or registration and reputation loss.

Chapter 4 — OTC derivatives

4.1 Overview

OTC derivatives are negotiated through dealers/brokers on a decentralised network, usually with less public price transparency and bilateral counterparty risk. Clearing houses can interpose as CCP, backed by margin and a mutualised default fund. Common products include interest-rate swaps, non-deliverable interest-rate swaps, cross-currency swaps, forward-rate agreements and commodity swaps. Compared with exchange markets, OTC markets have more sophisticated counterparties, longer-lived relationships, more tailored/non-standard terms and inter-dealer broking.

4.2 Regulatory regime

Post-2008 reforms introduced trade repositories, extended market-operator/clearing/intermediary regulation and mandated reporting/clearing of prescribed OTC derivatives. Specified persons—banks, bank subsidiaries, merchant banks, finance companies, insurers and CMS holders—must report specified interest-rate, credit, FX, commodity and equity derivatives traded/booked in Singapore to a licensed repository. Section 129C requires prescribed contracts to be cleared with an approved/recognised clearing house.

4.3 SGX-DC clearing

Eligible OTC commodity derivatives are registered through Titan OTC. Clearing members post initial/maintenance margin, obtain customer margin and pay variation margin for mark-to-market movements. A member may set higher internal requirements and must review them continuously.

4.4 Risk disclosure

Form 13 and relevant Form 14/industry-standard disclosure documents must explain leverage, market, counterparty, settlement, liquidity and other product risks before account opening/execution as required. Overseas-listed products require the separate risk warning and acknowledgement.

4.5 OTC dealing practices

State all material terms clearly, disclose minimum dealing amounts/credit limits early, use standard confirmations and terminology, and use negotiated master agreements such as ISDA with governing law, netting, default, termination and undertaking terms. Credit-support documents should address collateral, transfer and legal regime. If a broker cannot substantiate a quotation and a difference is payable, close at the next available price and settle the difference with the principal.

Chapter 5 — Ethics and standards for derivatives dealing

5.1–5.3 Ethics, framework and dilemmas

Apply the same client-first ethical framework as RES 1B, with derivatives-specific attention to leverage, complexity, long-lived OTC exposures, principal/client information and market integrity. Ethical threats remain self-interest, self-review and influence.

5.4 Standards and procedures

Professionalism requires law, independence/objectivity, no misrepresentation or misconduct and continuing competence. Protect market integrity from material non-public information and informational/transactional manipulation. Duties to clients include loyalty, prudence, care, fair dealing, complaints handling, suitability, written investment-management agreements, accurate performance presentation and confidentiality of clients/principals/counterparties. Do not reveal a principal's identity prematurely or pressure other market participants. Duties to employers include loyalty, no

misuse of confidential information, no client-list solicitation/misappropriation/self-dealing, transparent additional compensation and proper supervision/whistleblowing.

Diligence requires a reasonable basis and research. Communicate investment process, limitations, risks, important factors, costs, fact/opinion distinctions and retain records. Avoid or disclose conflicts; give client/employer trades priority; disclose referral fees, gifts and benefits. Recommended procedures include segregation of sales/dealing/research, resisting sponsor/issuer influence, protecting opinion integrity, supervisory reviews, gift limits, a designated compliance officer and continuous training.

The **SFEMC Blue Book** provides wholesale-market standards covering general dealing, ethics, governance/risk/compliance, back office and instrument-specific practices. The **BIS FX Global Code** is organised around ethics, governance, information sharing, execution, risk management/compliance, and confirmation/settlement.

5.5 Best execution for derivatives

Take reasonable steps for the best overall result, considering price, cost, speed, likelihood of execution/settlement, size and execution quality. Use written policies, time priority for comparable orders, no PFOF, monitoring and clear disclosure. Apply speed/likelihood, price and cost, size/liquidity, overall quality and client-specific instructions. Distinguish agent and principal capacities, handle orders fairly and transparently, prohibit improper staff/client or house-account cross trades, and disclose risk.

5.6 Applying the ethical framework

Gather facts, identify ethical issues, identify stakeholders, use internal reporting/whistleblowing, evaluate alternatives, implement and monitor the best action, and document the reasoning. In suitability cases, protect the client's long-term objectives even where a more aggressive strategy would earn more commission.

Chapter 6 — Derivatives dealing practices and skills

6.1 Scope

Recommendations require a reasonable basis unless the firm merely executes instructions or gives qualifying execution-related advice on listed EIPs. The process runs from client profiling and market analysis to strategy formation, implementation, execution, monitoring and risk management.

6.2 Market-information analysis

- **Fundamental analysis:** company/industry financials, ratios and valuation; useful for long-horizon equity decisions.
- **Technical analysis:** historical price/volume patterns and charts; useful for shorter horizons and market fluctuations.
- **Global macro analysis:** interest rates, policies, geopolitics, history and systemic forces.

Use reliable sources and conduct due diligence on third-party research, including the author's experience, reputation and possible bias.

6.3 Trading-strategy formulation

Reassess the overall purpose: alpha/excess return or hedging. Define return and risk objectives, performance targets, benchmarks, fees/taxes/inflation/spending assumptions, asset-allocation targets and ranges, and risk tolerance. Address time horizon, liquidity needs, legal constraints and foreign-investment restrictions.

Risk management should use consistent metrics, a rebalancing plan and the five-step cycle: identify, assess, evaluate, respond and report. Rebalancing can reduce exposure to events or implement tactical asset allocation.

6.4 Implementation and monitoring

Obtain client information before advice; review profiles/needs at least annually; disclose margin risks; document recommendations/warnings for at least five years as good practice; disclose conflicts; ensure disclaimers match actual conduct; and execute with regard to size, frequency, cost, derivatives exposure, DMA/algorithmic execution for small liquid trades and custom handling for large information-sensitive trades.

Risk skills include stop-losses, daily loss limits and Value at Risk. Monitor risk, return, performance versus benchmark and variances, report and explain changes, and refine the portfolio.

6.5–6.6 KYC and SIP accounts

For retail clients trading SIPs, conduct CAR for listed SIPs and CKA for unlisted SIPs. The same qualification, six-transaction and three-year relevant-experience tests apply, with product-specific experience for unlisted SIPs. Learning modules or CMFAS modules can satisfy knowledge requirements subject to the source's evidence requirements.

Independent senior management approval is needed for a SIP account. A negative CAR may still lead to a listed-SIP account only with written outcome, customer confirmation, risk explanation and responsibility warning. A negative CKA generally prevents unlisted-SIP dealing unless the firm is also an exempt financial adviser providing advice. CAR validity is three years with the stated transaction/new-assessment rule; CKA validity is one year. Keep assessment, outcome, approval and communications.

For overseas-listed products, give and record the risk warning; classify EIPs accurately; if classification is not implemented, treat as SIP and perform CAR; outsourced classification remains the CMS holder's responsibility.

6.7 Risk management

- **Operational risk:** losses from failed processes, people, systems and external events; use business continuity, documented controls, trained staff and recovery procedures.
- **Market risk:** loss from FX, interest, credit-spread, equity and commodity movement; manage diversification, limits, monitoring and reporting.
- **Correlation risk:** linked instruments move together and amplify exposure.
- **Political/legal risk:** policy, intervention, conflict, terrorism or regulatory change affects values.
- **Gap risk:** price jumps past a stop-loss with no tradable prices in between.
- **Capital risk:** loss of principal, potentially exceeding principal in margin trading.
- **Technology risk:** cyberattack, outage and system failure; the source highlights critical-system downtime and prompt MAS notification for severe incidents, plus cyber-hygiene controls.
- **Credit/counterparty risk:** an obligor defaults; reduce exposure, set limits and use collateral/clearing where appropriate.
- **Liquidity risk:** inability to fund obligations or close positions without unacceptable loss; use liquid assets, diversified funding and scenario analysis.
- **Regulatory risk:** laws/rules make activities more costly or unavailable; monitor and adapt.
- **Interconnected/systemic risk:** one institution or market failure transmits through connected counterparties.

MAS's CRAFT/impact-and-risk supervision uses diagnostic and remedial tools. AML/CFT risk management requires risk comprehension, board governance, transaction monitoring and customer acceptance/risk profiling.

RES 2B appendices

- **Appendix A — CAR:** education/professional qualification, six listed-SIP transactions in three years, or three consecutive years' relevant work in ten years; independent learning may help.
- **Appendix B — CKA:** education/professional qualification, six relevant unlisted transactions in three years (with separate CIS/ILP treatment), or three consecutive years' relevant work; approved learning may help.

- **Appendix C — overseas-listed risk warning:** regulatory, legal, disclosure, repatriation, tax, currency, fee, counterparty and political/economic/social risks.
- **Appendix D — EIPs:** refers to the class listed in the Schedule to the Securities and Futures (Capital Markets Products) Regulations 2018.
- **Appendix E — suspicious transactions:** the same categories of economically irrational activity, cash, account, foreign-transfer, unidentified-party, tax and terrorism-related red flags explained in the shared Chapter 7.
- **Appendix F — Review Questions:** the 15 source questions cover licensing changes, cessation of regulated activity, five-year records, hunting for stops, forms of market misconduct, front-running, OTC products, the ethical framework, back-tested performance, best execution, CKA exemptions, regulatory risk, the principal AML statute, sanctions-list action and the fact that terrorism financing may involve legitimate funds and need not involve large amounts.
- **Appendix G — Essential Readings:** SFA; SFR(LCB); SFR(FMR); PDPA; CDSA; MACMA; TSOFA; Income Tax Act; GST Act; MAS guidance on CMS licensing, competency, fit-and-proper criteria, sale of investment products, OTC derivatives and AML/CFT; and SGX, ICE Clear Singapore, APEX and APEX Clear rules and procedures.

Final revision checklist

Before an examination, be able to explain the difference between:

- primary and secondary markets;
- exchange and OTC trading;
- MAS, SGX/SGX RegCo, trading venues, clearing houses and CDP;
- AI, II, EI and retail customers;
- CAR and CKA;
- EIP and SIP;
- customer money and customer assets;
- trust and custody accounts;
- false trading, manipulation, deceptive devices, bucketing, front-running, churning and pre-arranged trades;
- inside information and generally available information;
- agent and principal execution;
- price, cost, speed, likelihood, size and execution quality in best execution;
- placement, layering and integration;
- CDD, simplified CDD, EDD, PEP controls and ongoing monitoring;
- STR filing and tipping-off; and
- operational, market, credit, liquidity, technology, regulatory, interconnected and AML/CFT risks.